Demand

Exam code: 9BS0

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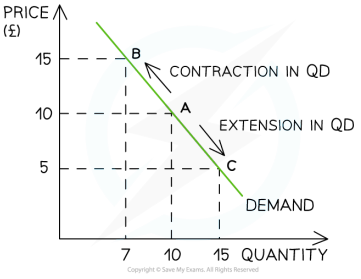
An introduction to demand

- Demand refers to the **number of goods/services customers are willing to buy** at a given price
  - **Effective demand** occurs when customers are **willing and able** (they have the money) to buy at a given price
- There is an **inverse relationship** between the quantity demanded by customers and the price
  - As the price increases, the quantity demanded decreases
  - As the **price decreases, the quantity demanded increases**
  - Hence, the **demand curve slopes downwards** from left to right
- This is illustrated in the diagram below

A simple demand curve



A demand curve showing how a change in price will lead to a change in quantity demanded (QD)

Diagram analysis

- An **increase** in price from £10 to £15 leads to a movement **up** the demand curve from point A to point B
  - Due to the **increase** in price, the quantity demanded (QD) has **fallen** from 10 to 7 units
- A **decrease** in price from £10 to £5 leads to a movement **down** the demand curve from point A to point C
  - Due to the **decrease** in price, the QD has **increased** from 10 to 15 units

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

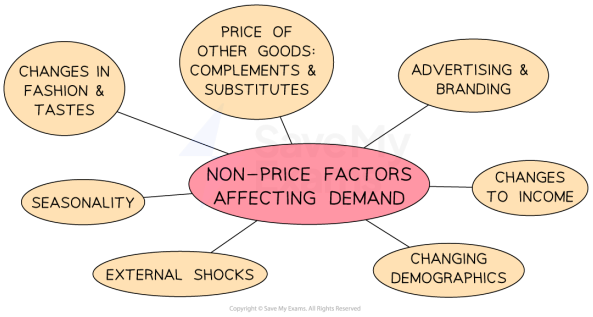
Examiner Tips and Tricks

When writing about a **movement along** the demand curve, we use the term "**quantity demanded**".

Factors leading to a change in demand

- A change in price leads to a **movement along the demand curve**
- However, a change in any other factors affecting demand will **shift the entire demand curve** to the **left or right**
  - These are called "**non-price factors affecting demand**"

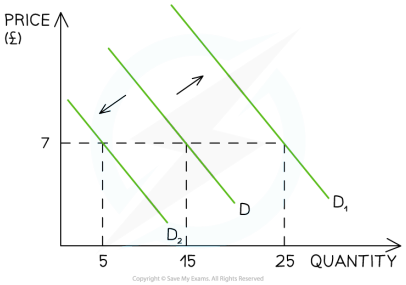
Non-price factors affecting demand



The non-price factors affecting demand result in a shift of the entire demand curve

- For example, if a firm **increases** its **Instagram advertising**, there will be an **increase in demand** as more consumers become aware of the product
  - This is a **shift in demand** from D to D_1. The price remains unchanged at £7, but the **demand has increased** from 15 to 25 units

Changes in non-price factors



A change in any non-price factor will lead to a change in the position of the demand curve

Diagram analysis

- The initial demand curve is seen at D

Help me understand

(e.g. decreasing incomes), the **entire demand curve** shifts to the left, from D to D_2
    - Demand has **decreased** from 15 units to 5 units

- If the **price remains constant** at £10 **but demand increases** due to one of the non-price factors of demand (e.g. increased advertising expenditure), the **entire demand curve** shifts to the right, from D to D_1
    - Demand has **increased** from 15 units to 25 units

Non-price factors affecting demand

Non-price factor	Explanation	Example
Change in the price of substitutes	• Substitute goods are **replacement goods** (e.g. different car brands)	• If the **price of VW cars increases,** demand for Ford cars might rise • This shifts the demand curve for **Ford cars** to the right
Change in the price of complementary goods	• Complementary goods are **goods** that are **consumed together**	• **Cars and petrol:** If the **price of petrol rises**, the demand for cars may fall • This shifts the demand curve for **cars** to the left
Change in consumer incomes	• As a **consumer's income rises**, demand for **normal goods**) increases	• **Demand for branded goods** (e.g. Superdry hoodies) tends to increase as **consumer incomes rise** • This shifts the demand curve for **branded goods** to the right
	• As a **consumer's income falls**, demand	• **Demand for own-label products**

		tends to rise as **consumer incomes fall** • This shifts the demand curve for **own-label goods** to the right
Fashions, tastes and preferences	• If products become more fashionable, demand for them increases	• Plant-based foods have become **more popular** in recent years • This has shifted the demand curve for **plant-based foods** to the right
Advertising and branding	• If more money is spent on advertising or branding, then this increases consumer awareness and brand loyalty	• **Coca-Cola** spends an average of $4bn per year on advertising and branding • This shifts Coca-Cola's demand curve to the right and makes demand more **price inelastic**
Demographics	• If the **structure or size of a country's population** changes, then the demand for products will also change	• **A decrease in the number of babies being born** will reduce the demand for baby products • This shifts the demand curve for **baby products** to the left

	year	**gas and electricity** falls in the summer months • This shifts the demand curve for **energy** to the left
External shocks	• An **unexpected event** can change the demand	• The outbreak of **Covid-19** led to panic buying of goods such as toilet rolls • This shifted the demand curve for **toilet rolls** to the right

Examiner Tips and Tricks

Remember, a change in any non-price factor that leads to **less demand** will **shift the entire demand curve to the left**, but a change in any non-price factor that leads to **more demand** will **shift the entire demand curve to the right**.

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